



WASHINGTON STATE
UNIVERSITY



Home <https://foley.wsu.edu/>

About the Institute

Fall 2025 Lecture Series:
The Future of liberal
democracy

Advisory board

Speakers, events, and
programs

Previous events

Election Integrity Initiative

The Foley Legacy

Thomas S. Foley Award

Foley Distinguished Award
2025 – Leon Panetta

Internships

Research

Contact

In the news

I want to give ↗

See our programs again
on YouTube ↗

College of Arts & Sciences ↗



THE FOLEY INSTITUTE

for Public Policy and Public Service



Meet Your Representative: Congresswoman Cathy McMorris Rodgers



Rep. Cathy McMorris Rodgers serves Washington State's 5th congressional district. Even as the highest ranking Republican woman in the House, Rep. McMorris Rodgers returned to visit Eastern Washington for a town hall forum at the Foley Institute on May 3rd.

Despite the quiet campus, many students and community members made it out this finals week to hear the congresswoman speak. Rep. McMorris Rodgers expressed her concern and dedication to a range of topics, including pushing for "21st century cures" by utilizing American innovation and technological breakthroughs. Despite roadblocks, the congresswoman remains "inspired by those who have ideas and turn them into reality. *That* is the American way."

Confronting Congress' the low approval rating, the representative explained a bipartisan project she is working on with Seth Moulton (D-MA) called Congress of Tomorrow. The goal is to update the "autopilot function of government" that has resulted in programs automatically being reauthorized without review of efficacy or of funding.

During the Q&A portion of the event, Rep. McMorris Rodgers was able to address citizen concerns regarding climate change, the Republican reaction to the Affordable Care Act, campaign fundraising, gun rights, congressional term limits, and even the civil rights versus religious liberty debate.

Contributor: Shantara Pintak



Home<https://foley.wsu.edu/>

About the Institute

Fall 2025 Lecture Series:
The Future of liberal
democracy

Advisory board

Speakers, events, and
programs

Previous events

Election Integrity Initiative

The Foley Legacy

Thomas S. Foley Award

Foley Distinguished Award
2025 - Leon Panetta

Internships

Research

Contact

In the news

I want to give ↗

See our programs again
on YouTube ↗

College of Arts & Sciences ↗



Climate Change: A report from the front lines

April 14th, the Foley Institute welcomed [Bill McKibben](#), whom the Boston Globe awarded the title of the “most important environmentalist.” McKibben has organized approximately twenty thousand demonstrations around the world, with his latest campaign against the Keystone Pipeline, [XL DISSENT](#), rallying even more protestors every day. The fights today “look very much as it used to,” McKibben explained that the role of activists was to “put things that people didn’t really focus on yet straight into the middle of the news cycle” and even be willing to go to jail for the cause. Making “respectful noise” is important through protest but has historically been interpreted as civil disobedience.

The voice of resistance movements, growing louder with every activist recruited, has been heard especially loudly this election year. McKibben applauded the many student activists who have taken on the role of confronting candidates on controversial issues. By voicing the priorities that the electorate is concerned with, candidates have actually felt the pressure to take appropriate action—most notably Hillary Clinton, McKibben remarked, had changed her stance on the Keystone Pipeline and other environmentally concerned legislation.

McKibben argued that the success of a cause pairs justice with the knowledge of playing the political game. The important fights unfortunately “don’t hinge on reason but on power,” McKibben went on to underscore the need to “build a series of movements, coalitions, and pressures” in order to make change. McKibben acknowledged that the abundance of money fueling corporate lobbyists can be daunting to stand up to, but that fights will only succeed if activists push against “the forces of the status quo [that] are applying enormous pressure” on a daily basis. The importance of citizen activism provides the “serious pushback” that demands change, without which “we would lose every single time.” Ultimately, McKibben stated, “left to their own devices, our institutions will favor those who have wealth and power, unless people can figure out how to intervene.” Through a collection of books authored by McKibben, and his organization [350.org](#), he hopes to empower protectors and activists for the environment.

[See flier here.](#)

Contributor: Shantara Pintak





Coffee & Politics Series

Climate Change

A report from the front lines



Thursday April 14 | 12pm-1pm

Foley Speaker's Room | 308 Bryan Hall



Bill McKibben is the founder of 350.org, a global grassroots climate movement that leads rallies worldwide to achieve efforts for environmental protection. McKibben has also authored several books about global warming and climate change including *The End of Nature*, *Deep Economy*, *Oil and Honey*, and *Enough*

Bill McKibben is the featured speaker for WSU Humanities Week. Keynote lecture: "The Human Element in Nature: From Harm to Hope." Wednesday, April 13, 5:30pm, CUB Auditorium



War Crimes: When great power invade small countries



In collaboration with the [School of Politics, Philosophy, and Public Affairs](#), the Foley Institute welcomed Professor Emeritus of International Relations at Duke University [Dr. Ole R. Holsti](#) April 13th to discuss *War Crimes: When Great Powers Invade Small Countries*. Focusing on the invasion of Iraq by the United States, Dr. Holsti asked whether or not such an event would be considered a war crime in the same way the Nazi invasion of Poland was deemed as such.

Explaining the historical relationship, the U.S. had with the Iraqi government, Dr. Holsti cited George H.W. Bush and National Security Advisor Brent Scowcroft's determination that "Trying to eliminate Saddam, extending the ground war into an occupation of Iraq, would have violated our guidelines about not changing objectives midstream... and would have incurred incalculable human and political costs."

Just four years later, George W. Bush would argue for military action, stating, "We can't wait until a threat materializes." Holsti added that such a statement "essentially argued the Cold War defense policy was no longer sufficient" and that action was justified "using the words 'preemptive action' instead of 'preventative action.'"

With such militarized preemptive measures, Dr. Holsti insisted two questions must be asked of these actions: "How good is the information on the threat?" and "Is this ability [of preemptive action] limited to the United States?" In regards to the first question posed, Holsti cited former Secretary of State Condoleezza Rice stating that the "tool of preemptive war must be used carefully" but that former Secretary of Defense Donald Rumsfeld was one advisor in particular who had asserted the existence of weapons of mass destruction. For the latter question, Holsti quoted Henry Kissinger's assertion that "It cannot be either in American interest or the world's interest to develop principles that grant every nation an unfettered right of preemption against its own definition of threats to its security." The riveting points made by Dr. Holsti opened to floor for reflection on past American foreign policy and the route it has taken today.

[See flier here.](#)

Cosponsored with the WSU School of Politics, Philosophy, and Public Affairs

Contributor: Shantara Pintak

THE FOLEY INSTITUTE

The Thomas S. Foley Institute
for Public Policy and Public Service



Coffee & Politics Series

War Crimes

When great powers invade small countries



Wednesday April 13 | 12pm – 1pm

Foley Speaker's Room | 308 Bryan Hall



Dr. Ole R. Holsti will discuss when large nations invade smaller ones, and focus on the U.S. invasion of Iraq in 2003.

Dr. Holsti is the George V. Allen Professor Emeritus of International Relations at Duke University.

Cosponsored with the Graduate Student Association of the School of Politics, Philosophy, and Public Affairs
and the School of Politics, Philosophy, and Public Affairs



Thomas S. Foley Institute for
Public Policy and Public Service

WASHINGTON STATE UNIVERSITY

HOOPS INSTITUTE OF TAXATION
RESEARCH & POLICY

Business Policy Symposium

Offshoring profits to avoid corporate taxes



Thursday March 31 | 4:30pm | CUE 203



Leslie Robinson
Dartmouth
College



Reuven Avi-Yonah
University of
Michigan



Kimberly Clausing
Reed College



Chris Faiferlick
Ernst & Young LLP

Co-Sponsored with the WSU Carson College of Business



Home<https://foley.wsu.edu/>

About the Institute

Fall 2025 Lecture Series:
The Future of liberal
democracy

Advisory board

Speakers, events, and
programs

Previous events

Election Integrity Initiative

The Foley Legacy

Thomas S. Foley Award

Foley Distinguished Award
2025 – Leon Panetta

Internships

Research

Contact

In the news

I want to give ↗

See our programs again
on YouTube ↗

College of Arts & Sciences ↗



Criminal Justice Reform: Can scientific research help us?



The Foley Institute welcomed director of the [National Institute of Justice](#) Nancy Rodriguez back to her alma mater March 28th. [Dr. Rodriguez](#) received her Ph.D. from Washington State University in political science and in addition to serving as director of the NIJ, she is on the faculty of [Arizona State University's School of Criminology and Criminal Justice](#). Presenting for the Distinguished Lecture Series, Dr. Rodriguez spoke on utilizing scientific research for the advancement of criminal justice reform.

Dr. Rodriguez's academic success provides a resolute means of understanding on how to implement change into the world of criminal justice. With sexual assaults notoriously rampant on college campuses, the director addressed many issues around the tragic trend. "Science is helping us get more effective ways to help victims," Rodriguez remarked on the need to revolutionize the speed and efficacy of testing rape kits. The [Not Alone](#) campaign, Rodriguez explained, combines the resources of government agencies with the meticulous research of the [Institute on Domestic Violence and Sexual Assault at University of Texas at Austin](#).

The work of the campaign "has produced a science-based, victim-centered blueprint for law enforcement to respond to sexual assault cases." Dr. Rodriguez stressed the importance of building a better relationship between police and the community, especially when training enforcement on sensitivity with victims. The recent climate of racial injustice has incited distrust in law enforcement, and as such, Rodriguez exclaimed the need to "make sure [our role and] our research is relevant." Potential ways in which to reform the broken relationship between police and the community would only succeed with data in which to understand the perceived distrust. One way, which was discussed through the Q&A portion of the lecture, was by having police departments record the details of assault cases. As of late, only few departments actually keep track of the number and nature of such incidents, and the ones that do so have volunteered.

Despite the current limitations, such efforts to collect data are the stepping stones for reform. "The main mission of NIJ is to develop partnerships and invest in research across disciplines that can strengthen science and advance." Dr. Rodriguez went on to empower the students in attendance to understand the important role they can play in criminal justice reform. As scholars, the academic and scientific research training is essential to understanding what needs change and why— especially with falling police-community relations and the growing frequency of sexual assault. "You are needed," the director asserted, "Research is needed."

[See the flier here.](#)

Contributor: Shantara Pintak

THE FOLEY INSTITUTE

The Thomas S. Foley Institute
for Public Policy and Public Service



Distinguished Lecture Series

Criminal Justice Reform

Can scientific research help us?



Monday March 28 | 4:00pm

CUB Auditorium | WSU Pullman



Recent events have demonstrated a crisis of confidence in our criminal justice system. Mass incarceration, police-community relations, sexual assault, and forensic science have brought policing under closer scrutiny than ever before. How can scientific research support the fair administration of justice, and play a role in reforming the system?

Dr. Nancy Rodriguez is director of the National Institute of Justice. She received her Ph.D. in political science at Washington State University in 1998.



WASHINGTON STATE
UNIVERSITY



Home <https://foley.wsu.edu/>

About the Institute

Fall 2025 Lecture Series:
The Future of liberal
democracy

Advisory board

Speakers, events, and
programs

Previous events

Election Integrity Initiative

The Foley Legacy

Thomas S. Foley Award

Foley Distinguished Award
2025 – Leon Panetta

Internships

Research

Contact

In the news

I want to give ↗

See our programs again
on YouTube ↗

College of Arts & Sciences ↗



Advocate and author on citizen activism, [Paul Loeb](#), spoke at the Foley Institute on March 1st about *Political Engagement in Challenging Times*. Acknowledging the many deterrents people, particularly students, face with regard to becoming involved with the election process, Loeb presented the “Perfect Standard.” This concept is utilized by citizens uninvolved with the democratic process by claiming a lack of information on the process itself or the candidates, the flaws of individual candidates, and even claims of it “not being the right time” in a person’s life to become an activist. Loeb recognizes the assertions of the Perfect Standard but argues that small action can lead to big change.

Even the “giants of history,” Loeb states, have recruited participation “step by step” in order to produce change. Loeb went on to lay out a framework by which to execute activism: intentionality, persistence and the leap of faith. The practicality and planning of intentionality serves as the foundation of actualizing activism. Loeb even shared the disappointment he has felt when his activism has not yet been fully realized. Despite these moments, however, he asserts the need for persistence and faith in the cause.

On community involvement, Loeb stated, “Often times the person you bring in can be as important as what you do and what you succeed in in any particular context.” Even disengaged citizens can find themselves turned into leaders of activism if they find the right cause and the right people invite them to participate even in rudimentary crusades.

Addressing the practical issues that result in disengagement, Loeb recognized the work of the Campus Election Engagement Project. His organization works to encourage institutions in university settings to promote involvement in elections by way of providing practical resources. Whether it’s providing the opportunity for students to register to vote through their university portal or even putting together rides to caucusing events, Loeb believes there are a range of ways for institutions to make the democratic process more accessible to students. “If you have the information, then you can participate but a lot of people don’t.”

A tougher issue to address, Loeb believed, was the fact that students claimed a lack of information on the candidates. This important concern has prompted the Campus Election Engagement Project to create a non-partisan guideline for where candidates stand on particular issues. Hoping to educate more students on the differences between candidates, the organization advocates college newspapers to share such breakdowns. In regards to the Perfect Standard that may deter voting, Loeb asserts that lack of involvement in the democratic process “effectively empowers the candidate you like least.” Going further, Loeb advocates staying engaged even after voting to ensure social change.

[Paul Loeb](#) is the founder of [Campus Election Engagement Project](#), taking on the task of exposing more college students to the election and campaign process. Loeb is also the author of [Soul of a Citizen](#) and [The Impossible Take a Little While](#).



Home <https://foley.wsu.edu/>

About the Institute

Fall 2025 Lecture Series:
The Future of liberal
democracy

Advisory board

Speakers, events, and
programs

Previous events

Election Integrity Initiative

The Foley Legacy

Thomas S. Foley Award

Foley Distinguished Award
2025 – Leon Panetta

Internships

Research

Contact

In the news

I want to give ↗

See our programs again
on YouTube ↗

College of Arts & Sciences ↗



Destroying Cultural Heritage: The failure to protect artifacts from extreme groups



Tuesday, February 23 | 12:00-1:00pm

Foley Speaker's Room | 308 Bryan Hall

[Watch the presentation](#)

North Africa and the Middle East are home to ancient cultural artifacts that stretch back to the dawn of civilization. Today, these treasures face destruction and theft from a variety of extremist groups.

[Dr. Joris D. Kila](#) discussed how global policies are failing to deal with this escalating crisis of cultural heritage protection. Dr. Kila offered his perspective as a conservationist in the realm of cultural heritage. As a Lieutenant Colonel for the Dutch Army, Kila was able to express the necessity for many facets of government such as military, legal, financial, and strategic communications departments to work with anthropologists, archaeologists, and other experts in order to preserve cultural artifacts during war time.

Kila expressed the poor execution on the part of international organizations. These institutions have failed to protect cultural artifacts for a variety of reasons. The one especially astonishing fact is that the International Criminal Court cannot prosecute the al-Assad regime of Syria for the destruction of ancient sites as this state rejected becoming a member of this organization and therefore not subject to the terms and conditions of membership. Other cultural protection agencies are simply too bureaucratic in nature and, as Kila says, “want to avoid risks” and so do not properly take action when sites are targeted. Such institutions don't do the emergency assessments needed as they claim to lack funding. Kila voiced particular disappointment in the UNESCO office for intangible artifacts, the department that concerns itself with the preservation of a culture's language, dance, and music.

The importance of protecting artifacts stems from the same reason that they are targets for destruction: “Cultural heritage is a form of identity,” according to Kila. The act of ruining an artifact becomes a crime against humanity, as it is a form of psychological warfare where the removal of a cultural monument, Kila says, ultimately results in the “destruction of identity.” As generations continue and no longer have the memory of such artifacts, they lose touch with that element of their culture — the reason why their group had an attachment to such an expression of heritage.

Cosponsored with the WSU School of Politics, Philosophy, and Public Affairs; the College of Arts and Sciences; Graduate Student Association; Dept. of History; Dept. of English; and the George and Bernadine Converse Historical Endowment.

Contributor: Shantara Pintak



WASHINGTON STATE
UNIVERSITY



Home <https://foley.wsu.edu/>

About the Institute

Fall 2025 Lecture Series:
The Future of liberal
democracy

Advisory board

Speakers, events, and
programs

Previous events

Election Integrity Initiative

The Foley Legacy

Thomas S. Foley Award

Foley Distinguished Award
2025 - Leon Panetta

Using fetal tissue: The ethics of scientific research



The Science, Ethics, and Public Policy series works to link various research departments at Washington State University with external experts to provide discussion and insights into controversial issues at the crossroads of science and public policy.

February 11th, "Using Fetal Tissue: The Ethics of Scientific Research," was moderated by resident professor of philosophy Bill Kabasenche. The symposium began with a presentation by Washington State University professor Terry Hassold of the School of Molecular Biosciences. Dr. Hassold explained spontaneous abortions, or miscarriages, as an "extraordinarily common complication of human pregnancies." These events are usually due to chromosomal abnormalities in an embryo that will never lead to life. Dr. Hassold

regards research of the tissue from these miscarriages as essential for assisted reproduction, stating, "Simple genetic testing can provide the reason for the tragic loss of a pregnancy." Fundamentally, a drawback in studying the conventional lab rats is that findings will not accurately reflect human outcomes as our species "has the highest rate of chromosomal error," a fact that will only be reflected by examining human tissue. Dr. Hassold concluded, that the "importance of studying ourselves can't be overstated."



Home <https://foley.wsu.edu/>

About the Institute

Fall 2025 Lecture Series:
The Future of liberal
democracy

Advisory board

Speakers, events, and
programs

Previous events

Election Integrity Initiative

The Foley Legacy

Thomas S. Foley Award

Foley Distinguished Award
2025 - Leon Panetta

Internships

Research

Contact

In the news

I want to give ↗

See our programs again
on YouTube ↗

College of Arts & Sciences ↗

that will only be reflected by examining human tissue. Dr. Hassold concluded, that the “importance of studying ourselves can’t be overstated.”

Juxtaposing the scientist were Philosophy professors Christopher Tollefsen of the University of Southern California and Leslie Francis of the University of Utah. Dr. Tollefsen began his presentation as the self-proclaimed representation of the minority view in most colleges. His philosophical focus on the morality of abortion and subsequent research led him to ask three main questions: What is the moral issue at stake in fetal tissue research? What issues of complicity arise for researchers and eventual beneficiaries? What steps can be taken to eliminate or limit these issues?

Feminist Katha Pollitt famously asked “If you think use of fetal tissue research is wrong and should be banned, would you refuse to use any therapies that may come of it?” Dr. Tollefsen refuted by stating “It’s neither obligatory nor possible to say no to all of them,” such as vaccines one received as a child. Instead, he argues that certain questions should be asked: “What should we reform now? What role do my actions play in perpetuating an ongoing injustice?” Ultimately, Dr. Tollefsen should believe that this research should be conducted with the range of support in mind. “Fetal tissue research as a part of contemporary science is anything but private. Public sciences is, in great measure, publically funded. I think that all citizens, including those morally opposed to abortion have a real stake in ensuring that public science benefits the general public and does so in accordance with norms that can be accepted by as many citizens as possible.

Focusing on the issue of complicity, Dr. Leslie Francis suggested limiting research to that where the decisions of abortion and donation of tissue are separated. For instance, with a spontaneous miscarriage, “there’s been no prior wrongful action. Situations in which the abortion decision is made entirely separate from the decision about use in research.” Dr. Francis went on to say, “Even if you’re opposed to abortion, once that’s happened independently, there’s no additional harm to the fetus from research.” Importantly, she underscored the importance of treating the remains of all human life with respect and in accordance with the law.

[Bill Kabasenche](#), Professor of Philosophy at Washington State University.

[Leslie Francis](#), Professor of Philosophy and Law at the University of Utah.

[Terry Hassold](#), Professor in the School of Molecular Biosciences at Washington State University.

[Christopher Tollefsen](#), Professor of Philosophy at the University of South Carolina.

[See flier here.](#)

Contributor: Shantara Pintak



Jihad in Mali: the Holy War of Amadou Koufa



For decades, civil war and religious conflict have decimated African countries. Peter Chilson discussed a new jihadist leader, Amadou Koufa, in Mali whose goals differ from typical terrorist organizations, and who desires to revive the 19th century caliphate.

Mali struggles from widespread unemployment as well as lack of resources. The astonishingly young population, around [48%](#) under the age of 15, faces an unsure and forlorn future. Amadou Koufa, a radical preacher from the town of Konna, has utilized the desperation of the Mali population in order to stock his movement with soldiers. Even as Koufa's whereabouts are questioned– footage of appearances have been controversial as his death was declared by the French after an air raid– he still remains a figure head for the Macina Liberation Front. The lively discussion Professor Chilson lead prompted student, faculty, and community members to ask what views these jihadist fighters have on colonial, western government systems as well as inquiries into the future of the state of Mali. If Koufa's infamous words of aggression stand true, "Mali est mort," Mali is dead.

[Peter Chilson](#) is a professor of English at WSU. Chilson has visited several countries throughout Africa and witnessed the brutal effects of civil wars. He has written several books including *Riding the Demon: On the Road in West Africa* and an ebook, *We Never Knew Exactly Where: Dispatches from the Lost Country of Mali* (Foreign Policy, 2013).

[See flier here.](#)

Contributor: Shantara Pintak

THE FOLEY INSTITUTE

The Thomas S. Foley Institute
for Public Policy and Public Service



Jihad in Mali

The Holy War of Amadou Koufa



Wednesday January 20 | 12:00pm
Foley Speaker's Room | 308 Bryan Hall



For decades, civil war and religious conflict have decimated African countries. Peter Chilson will discuss a new jihadist leader in Mali whose goals differ from typical terrorist organizations, and who desires to revive the 19th century caliphate. Join us for pizza, soda, and informative discussion.

Peter Chilson is professor of English at WSU. Chilson has visited several countries throughout Africa and witnessed the brutal effects of civil wars. He has written several books including *Riding the Demon: On the Road in West Africa* and an ebook, *We Never Knew Exactly Where: Dispatches from the Lost Country of Mali* (Foreign Policy, 2013).



Home <https://foley.wsu.edu/>

About the Institute

Fall 2025 Lecture Series:
The Future of liberal
democracy

Advisory board

Speakers, events, and
programs

Previous events

Election Integrity Initiative

The Foley Legacy

Thomas S. Foley Award

Foley Distinguished Award
2025 – Leon Panetta

Internships

Research

Contact

In the news

I want to give ↗

See our programs again
on YouTube ↗

College of Arts & Sciences ↗

Law and Morality: The regulation of private behavior



Professor of Philosophy at the University of Southern California, Christopher Tollefsen, joined the Foley Institute on February 11th for a lecture on *Law and Morality: The Regulation of Private Behavior*. Tollefsen centered the discussion around a key question: “Can the state take an interest in private activities simply for the interest in the morality of its citizens?”

The discussion led to definitions of the state as a tool, the sovereignty of citizens, and even the lack of self-sufficiency of individuals—in other words, the reliance of people on their communities. Tollefsen explained this dependency as the necessary for the advancement of the society. “The classical understanding [of the state] believed that part of the purpose was to lead all around flourishing by way of being virtuous and so the political state takes a direct interest in the moral quality of its citizens.” The limitations of the state, however, would be that it lacks domain over the autonomy of a person’s choice; the disclaimer, however, being that the effects of that personal choice must only affect that individual. The state “can’t take sovereignty except by injustice, even if the act is morally wrong,” according to Tollefsen. In full support of John Stuart Mill’s Harm principle, Tollefsen asserted that the state can only interfere with an individual’s actions in order to protect another citizen or community. This purpose—protection from internal threats—would be one of Tollefsen’s concluding points on the four roles of the state as a tool: the coordination of groups, protection from within, protection from external threats, and the provision of welfare.

[See flier here.](#)

Cosponsored with the WSU School of Politics, Philosophy, and Public Affairs

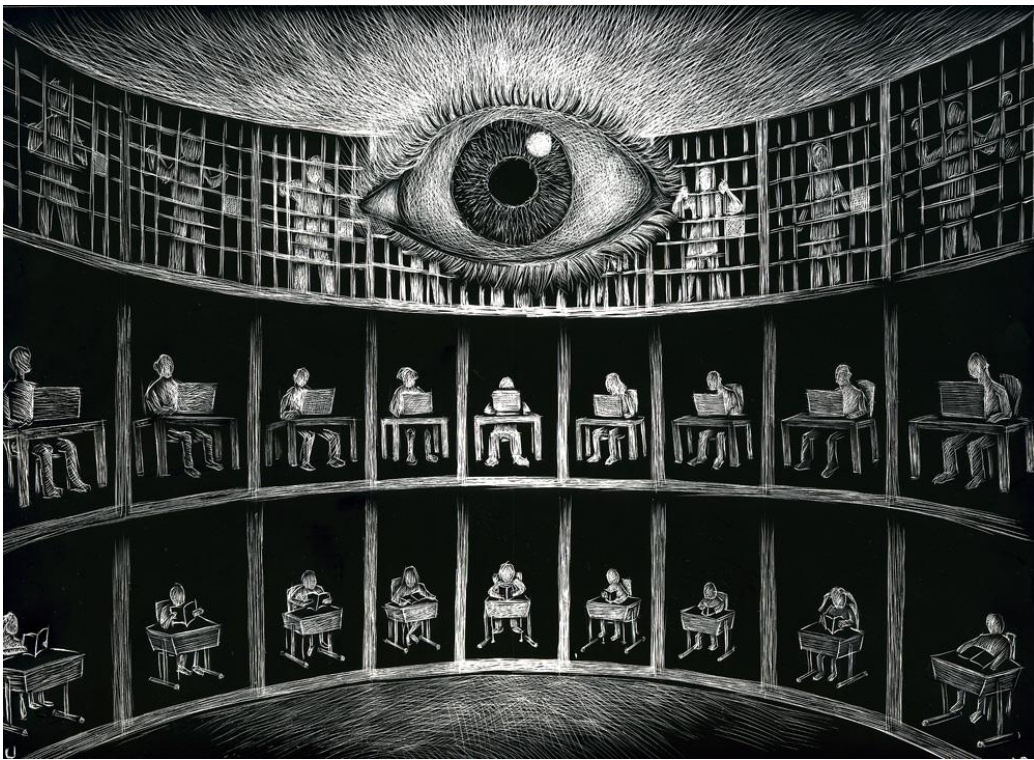
Contributor: Shantara Pintak





Law and Morality

The regulation of private behavior



Thursday February 11 | 12:00pm
Foley Speaker's Room | 308 Bryan Hall



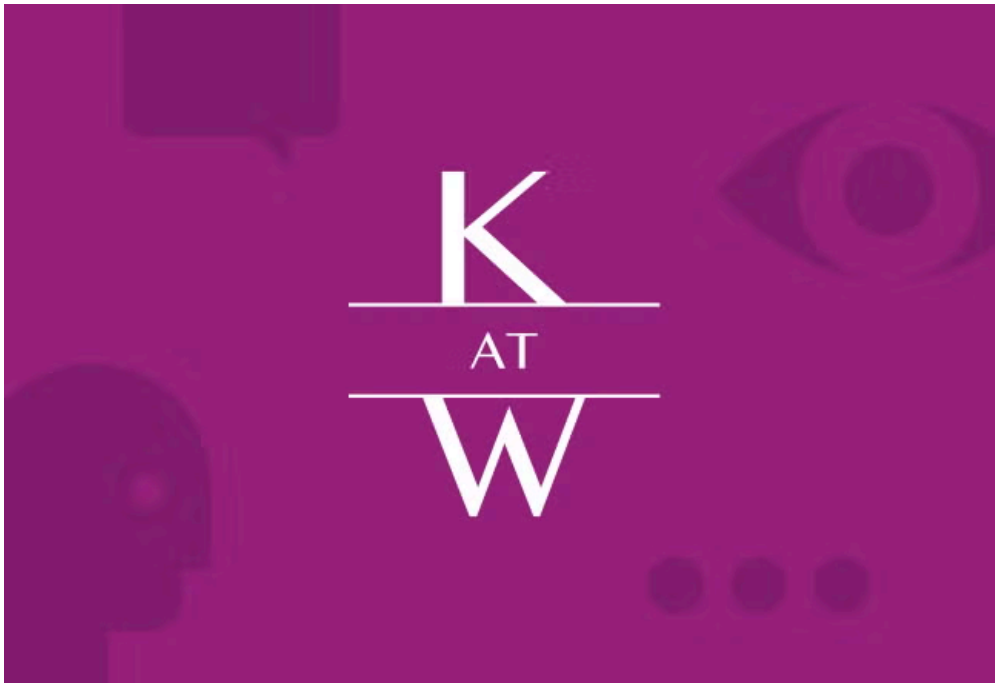
Do we need the law in order to be good people? How should the law regulate a person's behavior?

Christopher Tollefsen, Professor of Philosophy at the University of South Carolina will examine the principles that should inform the law's regulation of private behavior.

To Stave Off Arab Spring Revolts, Saudi Arabia and Fellow Gulf Countries Spend \$150 Billion

September 21, 2011 • 4 min read

Saudi Arabia and other Middle Eastern countries are investing in social programs in an effort to boost citizen well-being and temper tensions that could lead to more uprisings. But a new report cautions that their efforts don't address the long-term nature of the problems that spurred the Arab Spring.



PUBLIC POLICY

Written By

Knowledge at Wharton Staff

ossessing 20% of the world's proven petroleum reserves, Saudi Arabia has long played the expected role of benefactor among its fellow Arab and Muslim countries. With a total aid budget of \$3.1

P billion in 2009, Saudi Arabia keeps one of the largest humanitarian aid funds in the world.



Much of that aid went to hardship-struck Muslim nations, including Pakistan, Somalia and the Palestinians. But since the Arab Spring took root this year, Saudi Arabia has spread its largesse among its own citizens and Gulf Cooperation Council (GCC) neighbors — a large part of \$150 billion worth of social welfare spending in the region since the unrest began, according to a new report by Merrill Lynch Bank of America.

Only days following the collapse of former Egyptian president Hosni Mubarak's regime in February, for instance, Saudi Arabia announced a social welfare package for its citizens worth \$10.7 billion, featuring pay raises for government employees, new jobs and loan forgiveness schemes. By the end of the month, the handouts totaled \$37 billion. In March, the trend continued, as Saudi Arabia's King Abdullah heralded an additional \$93 billion in social spending.

Such generosity was no coincidence, noted the Merrill Lynch Bank of America report's authors. "The initial response of GCC policymakers [to the Arab revolt] has been to sharply increase current spending to accommodate social pressures and to pledge intra-regional fiscal transfers to less endowed members," wrote Jean-Michel Saliba, Middle East and North Africa economist for the firm.

In addition to Saudi Arabia, the United Arab Emirates (UAE) capital of Abu Dhabi put forward plans to spend nearly \$2 billion to provide housing loans to Emiratis, while Qatar announced this month an \$8 billion payout in wage, salary and benefits increases for all state and military personnel. Oman and Bahrain have also indicated they would increase social spending by the billions this year.

Aside from raises for state employees, the spending in these Gulf states will go toward infrastructure and social amenities, such as roads, schools and hospitals, and further subsidies on food, water and power consumption for citizens.

Saliba and his colleagues cautioned that the outsized spending did not address the long-term nature of the problems presented by the Arab Spring, such as high unemployment. “This [social spending] has averted potential disquiet over governance in most countries, though, over a longer-term horizon, economic reforms will be needed to buoy private sector growth and job creation.”

Saudi Arabia’s generosity has been criticized as a means for the Arab world’s most populous country to make political gains and spread influence. The Merrill Lynch report also does not take into account the cost incurred by Saudi Arabia to send its troops into neighboring Bahrain to help quell a Shiite uprising there — another action to prevent revolt from reaching its own borders.

But in a recent analysis of the Arab Spring for Arabic Knowledge at Wharton, Wharton legal studies and business ethics professor Stuart Diamond said the spending by the Saudis demonstrated their understanding of negotiation. “They understood that for many people, it was about Maslow’s [hierarchy of] needs triangle: that is, basic life necessities such as food, shelter and health mattered most. So the stipends that the Saudi government gave helped to quell disturbances,” he noted.

Diamond added that Saudi spending bought not only continued loyalty from its citizens. “What they have mostly bought was time. For now, the populace will be satisfied with their recent bonuses. But that does not amount to structural and sustainable change, the kind that would significantly improve everyone’s quality of life on a continuing basis. The Saudi government should take this

opportunity to include more people in decision-making and develop new industries that give more people a chance at a better life over the long term.”

© Knowledge at Wharton. All rights reserved. Knowledge at Wharton is an affiliate of the Wharton School of the University of Pennsylvania.

09:22 08Aug11 RTRS-HSBC in trade finance partnership with IDB affiliate

DUBAI, Aug 8 (Reuters) - HSBC Holdings <HSBA.L> signed a memorandum of understanding with an affiliate of the Islamic Development Bank to facilitate sharia-compliant trade financing activities on behalf of ITFC's customers, the lender said in a statement on Monday.

The affiliate, Islamic Trade Financing Corp. (ITFC) is expected to disburse over \$2 billion of trade financing to companies in Asia, the Commonwealth of Independent States, Middle East and North Africa (MENA) and Africa, said Waleed Al-Wohaib, chief executive of the ITFC.

It seeks to develop trade among the 57 member countries of the Organisation of the Islamic Conference. The statement did not provide any financial details regarding the partnership.

HSBC will provide the letters of credit on behalf of ITFC customers who import or export goods as well as offer syndication and co-financing to help boost Islamic trade finance.

"Islamic trade financing is set to become the next pillar of growth for the industry," said Razi Fakihi, deputy chief executive of HSBC Amanah, the bank's Islamic arm.

"HSBC believes that trade and capital flows between the emerging countries of the world are likely to increase significantly over the next few decades."

Total trade finance among the OIC members, which includes Saudi Arabia, Malaysia and Turkey, is expected to reach \$4 trillion by 2012, according to AAOIFI and could spur growth in the nearly \$1 trillion Islamic finance industry. [ID:nLDE756010]

(Reporting by Shantara Pintak, Editing by Dinesh Nair)

((shaheen.pasha@thomsonreuters.com)(+971 4366 4208)(Reuters Messaging: shaheen.pasha.thomsonreuters.com@reuters.net))

Keywords: HSBC ITFC/PARTNERSHIP